

Town of Westhampton
Town Hall
1 South Road
Westhampton, MA 01027

Finance Committee Meeting Minutes
Tuesday, June 16, 2015

The meeting convened at 7:00 PM

Present:

Finance Committee Members: Ellice Gonzalez, Mary Cleary, Tom Cleary, Jr., Aniko Giordano, Joseph Pipczynski, Chevy Seney, Celeste Whiting

Also present: Cheryl Provost, Administrative Assistant and Joe Boudreau, Town Accountant

1. Vote to appoint Ellice as chair and Mary as secretary. 7-0-0 Joe will serve as back up secretary as needed. Welcome to newest member, Chevy Seney.
2. Accept minutes of April 14, 2015 (taken by Joe). 7-0-0
3. Correspondence: The Beacon, Municipal Advocate magazine.
4. Joe Boudreau, our Town Accountant, reported on the FY 15 budget. The fire department account is low with only \$450 in it at the moment. The safety department account is also low with only \$5. Nothing is overdrawn and we must see what will be spent by June 30. We discussed FinCom receiving quarterly expenditure reports from Joe. He is happy to furnish us with those. Joe has already sent out a year-end memo to all department heads with the expenditure report attached.
5. Transfers: \$1,400 from Reserve Fund to Safety Complex Building. Vote 5-0-2.
\$1,000 from Reserve Fund to Treasurer's Expenses. Vote 7-0-0.
6. FY 16 updates: Joe B. reports that the state is working on the final cherry sheet and that should be out soon. We discussed ways to appropriate money if the fire truck grant is awarded. We would need to appropriate an additional \$30,000 in order to meet the town's obligation toward the grant. Options include holding a special town meeting and hold a special election to do a debt exclusion to raise the \$30,000. Another option is Free Cash from FY15 (which would lower our Free Cash for FY16). The reason for appropriating it in FY15 would be to make sure the money is available at the appropriate time since FY16 Free Cash would not be certified (and therefore not useable) until October. This would also require a special town meeting. We decided to hold off on taking action at this time. We will wait to hear whether the grant is actually awarded.

We will need to address the FY16 longterm debt line item. We appropriated \$80,000 in our budget, but the actual figure is \$82,590. We will vote to appropriate the additional \$2,590 at Town Meeting reconvene on Monday, June 22.

Joe B. gave a presentation on Free Cash, its origins, calculations, and uses and how it is certified by the DOR. He also presented a chart of Westhampton's fluctuations of Free Cash from FY 2000 to FY 2014. In addition, he showed us a chart of Worthington's use of Free Cash and its use from FY1995 to FY2014. Worthington has been voting all of their Free Cash into a stabilization fund each year for capital, one-time and non-operating expenses. To vote money out of Free Cash requires a majority vote. To vote money out of the stabilization fund requires a 2/3 vote. As a result, over this time period, their stabilization fund has grown from \$39,572 to \$997,989. They are able to pay for most capital expenses with cash from this fund.

It would be prudent for Westhampton to become less dependent on Free Cash to balance the operating budget. Joe B. also pointed out that Westhampton households are paying more in taxes, on average, than households in neighboring towns. The average tax bill for a single family home in Westhampton is \$4,500. Most towns are paying closer to \$3,000 per household.

A next step for Westhampton is to look at our town budget more closely to distinguish between operating budget and capital/one-time/non-operating expenses.

Another next step for Westhampton is to back off using Free Cash little by little each year to reduce our dependency on Free Cash to balance the budget.

Also, we are currently \$15,604 over our level limit for FY16. This must be addressed by June 30.

7. The treasurer interviews are tentatively scheduled for next Monday at 6:30. All are welcome to attend.

8. The next meeting will be Tuesday, July 21 at 7:00pm

We adjourned at 9:24 pm.

Respectfully Submitted
by Mary Cleary